

Business Owner and Sales Director KPI Framework

Role scope: the business owner and sales director are separate people. The owner focuses on lagging business results, while the sales director focuses on the leading indicators that create those results.

Business Owner

This role watches the top level commercial outcomes of the business.

1. Closed Revenue

Definition

The total new revenue closed in the period.

Supporting metrics

- Revenue versus goal: Shows whether sales output met plan.
- Deals closed: Shows total customer wins.
- Average deal size: Shows whether revenue is coming from larger deals or more volume.
- Revenue by service line: Shows which offers are producing revenue.
- Revenue by source: Shows where closed business is coming from.

Why this matters

This tells the owner whether the company is actually winning enough business.

2. Gross Margin on New Sales

Definition

The gross margin percentage or dollars on newly closed business.

Supporting metrics

- Discount rate: Shows whether margin is being eroded to win deals.
- Revenue by service line: Shows which offers are more or less profitable.
- Cost to deliver by service line: Shows the true delivery cost behind each sale.
- Average gross margin per deal: Shows whether average deal economics are healthy.
- Low margin deal count: Flags deals that may hurt overall profitability.

Why this matters

The owner should care about profitable revenue, not just top line revenue.

3. Forecast Accuracy

Definition

The percentage difference between forecasted revenue and actual revenue.

Supporting metrics

- Forecasted revenue versus actual revenue: Shows the size of the gap.
- Commit versus actual: Shows whether committed deals are really closing.
- Revenue miss percentage: Quantifies how far off the forecast was.
- Deal slip impact: Shows how much forecast movement came from pushed deals.
- Variance by month: Shows whether forecast reliability is consistently weak or isolated.

Why this matters

This tells the owner whether the sales engine is dependable enough to plan around.

Sales Director

This role owns the drivers that produce future sales results.

1. New Qualified Pipeline Created

Definition

The dollar value of new qualified opportunities created during the period.

Supporting metrics

- Qualified opportunity count: Shows how many real opportunities were created.
- Lead to qualified opportunity conversion rate: Shows whether leads are turning into real pipeline.
- Discovery meetings held: Shows whether enough pipeline creating conversations are happening.
- Opportunity acceptance rate: Shows how much created pipeline actually meets quality standards.
- Pipeline created by source: Shows which channels are feeding the best opportunities.
- Average new opportunity value: Shows whether created pipeline is large enough to matter.

Why this matters

This is one of the strongest leading indicators of future revenue.

2. Pipeline Velocity

Definition

The rate at which pipeline moves into revenue.

Supporting metrics

- Qualified opportunity count: More real opportunities can increase velocity.
- Win rate: If too few opportunities close, velocity drops.
- Average deal size: Larger deals increase the revenue output of the pipeline.
- Average sales cycle length: Longer cycles slow down how fast revenue comes through.
- Stage aging: Shows where deals are sitting too long.
- Stage conversion rates: Shows exactly where opportunities are falling out.

Why this matters

This shows whether pipeline is moving efficiently or getting stuck.

3. Meeting to Opportunity Conversion Rate

Definition

The percentage of first sales meetings or discovery calls that become qualified opportunities.

Supporting metrics

- Total first meetings held: Shows how much early funnel activity is occurring.
- Qualified opportunities created: Shows the actual output from those meetings.
- No show rate: Shows how often scheduled meetings do not happen.
- Follow up speed: Slow follow up often reduces conversion after initial meetings.

- Qualification rate by source: Shows whether some channels convert better than others.
- Proposal rate after discovery: Shows whether strong meetings are progressing deeper into the funnel.

Why this matters

This is a true numeric leading KPI that shows whether early selling conversations are productive.

How the roles differ

The business owner is measured on results the company can plan around. The sales director is measured on the leading indicators that shape future results. This creates a cleaner line of accountability with no overlap in the critical KPIs.